

How do you feel?
Any experience?



BWPM Unit 2.3

Organizational Climate & Culture

CLIMATE

CULTURE

Climate = what people experience

Culture = what lies underneath

Which workplace would you choose?



A

The supervisor listens to questions.
Mistakes are discussed openly.
People help one another.



B

The supervisor is rarely approachable.
People avoid reporting problems.
'Just follow the process' is the norm.

What makes A or B feel different? List 2 visible clues and 1 possible deeper reason.

Why should an engineer study this?

CONTEXT

Engineering workplaces are technical systems + social systems



Technical system

Machines • technology • processes
Specifications • algorithms
What engineers design



Human / social system

People • communication • leadership
Trust • coordination • norms
How people actually use the system

ENGINEERING PERFORMANCE

Technical system + Human system

THINK

Where can a technically excellent design fail because of people, norms, communication or leadership?

Organizational climate

CLIMATE

The shared perception of what the workplace is like

“Shared perceptions and attitudes employees hold about the organisation — its policies, practices, & procedures.”

“Perceptions and experiences of the **current organisational environment”**



PERCEPTUAL

How employees experience the workplace — not simply what policy says.



SHARED

A consistent pattern across people/teams, not one employee's opinion.



CHANGEABLE

Can shift with leadership, policies, workload or events.

INDIAN EXAMPLE

A company may have the same safety SOP on paper, yet a different safety climate across two plants or supervisors.

Climate: Litwin & Stringer's dimensions

CLIMATE

My college, my department's climate

Structure

How clear/formal are roles and procedures?

Responsibility

How much autonomy do people experience?

Reward

Is recognition linked to performance/fairness?

Risk

Is initiative and calculated risk tolerated?

Warmth & Support

Do people experience trust and help?

Standards

How strongly are excellence and performance expected?

Conflict

Can disagreement be expressed and resolved?

Identity

Do people feel they belong to the organization/team?

Communication

How open and accessible is information?

Instruction: *Think about your internship. Rate each statement from 1–5.*

1 = Strongly Disagree | 5 = Strongly Agree

No.	Statement	Climate dimension
1	People here feel comfortable asking questions or seeking help when they face a problem.	Warmth & Support
2	I have sufficient freedom to take responsibility for my work and make appropriate decisions.	Responsibility
3	Good performance and contribution are recognized fairly.	Reward
4	People can express disagreement or raise concerns without creating unnecessary conflict.	Conflict / Communication
5	Information needed to do our work effectively is communicated openly and in time.	Communication

How do we know what the climate is?

CLIMATE

Measure perceptions — then compare them with behaviour and HR data



Surveys

Questionnaires /
pulse surveys



Interviews

Individual or group
conversations



Observation

What people actually
do



HR indicators

Turnover,
absenteeism,
incidents

Important distinction

Climate is **not** the same as an objective condition. It is the shared perception of that condition.

ENGINEERING LENS

If a safety policy is excellent but near-misses are rarely reported, what does the lived climate tell you?

Climate → behaviour → outcomes

CLIMATE

A useful applied chain for engineers



Climate

How work is experienced



Behaviour

What people actually do



Outcomes

Safety • quality • turnover • performance



Positive climate

More voice, cooperation, motivation and learning



Negative climate

Silence, conflict, stress, turnover and lower output

Organizational culture

CULTURE

“The way we do things around here”

Shared deeper patterns, values and assumptions of an organisation that guide behaviour



DEEPER

Less visible than climate;
includes assumptions people
rarely question.



MORE STABLE

Develops over time and usually
changes more slowly.



LEARNED

New members learn it through
socialization, stories, role
models and rewards.

INDIAN EXAMPLE Tata: how founder values can persist across generations.

Climate vs. culture

CORE

The most important distinction to remember

Aspect	Climate	Culture
Depth	Surface-level perceptions	Deep values & assumptions
Stability	Can shift relatively quickly	Changes more slowly
Awareness	Usually consciously perceived	Often taken for granted
Analogy	Today's weather	Deeper pattern

TEST YOURSELF A new supervisor changes how meetings feel within a month. Is that more likely climate or culture? Why?

Schein's three levels of culture

CORE MODEL

Visible behaviour is only the tip of the iceberg

1 ARTIFACTS

Visible: dress, office design, rituals, language

2 ESPOUSED/ADOPTED VALUES

What the organization says it values: strategy, philosophy, principles

3 BASIC ASSUMPTIONS

Deep, often unconscious beliefs about people, work, risk, authority, success

Apple illustration

Artifact → minimalist store

Espoused value → simplicity

Underlying assumption → technology should feel intuitive

What does culture do?

CULTURE

Culture is an informal coordination system



Identity

Creates belonging and
“who we are”



Commitment

Connects behaviour to
shared purpose



Sense-making

Helps people interpret
ambiguous situations



Control

Guides behaviour
without constant
supervision

Strong culture Widely shared values + consistent
behaviour

**Possible
downside**

Can become rigid and
resist change

LET'S EXPLORE ORGANIZATIONAL CULTURES

Research these organizations online and note what makes their culture unique.



Leadership with Trust



FRIENDLY. ECO-FRIENDLY



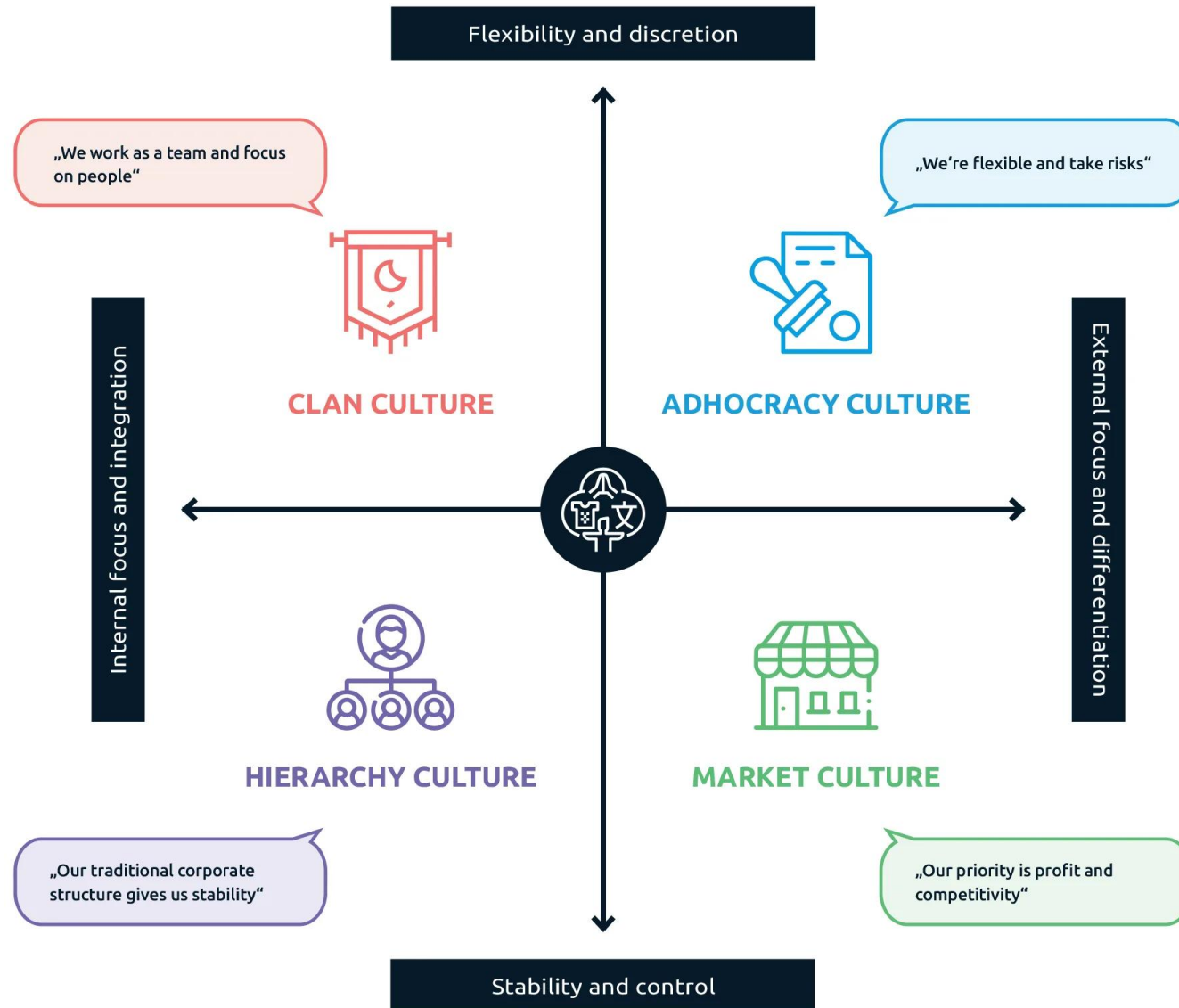
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IIT BOMBAY
Powai, Mumbai



TYPES OF ORGANIZATIONAL CULTURE



Culture type	Main focus	Typical characteristics	Example
Clan	Collaborate	Teamwork, trust, participation, mentoring, belonging	Tata — often associated with people orientation and long-term relationships
Adhocracy	Create	Innovation, experimentation, flexibility, risk-taking, entrepreneurship	Google — innovation, experimentation and new-product development
Market	Compete	Targets, results, competition, customer focus, achievement	Amazon — strong performance and customer/results orientation
Hierarchy	Control	Rules, procedures, stability, efficiency, predictability	Indian Railways — large-scale coordination, formal procedures and reliability

Hofstede dimensions: national culture lens

FRAMEWORK

Useful for cross-cultural teamwork — not a label for every individual



Power Distance

How comfortable are people with unequal power?



Individualism / Collectivism

Personal goals vs. group loyalty



Uncertainty Avoidance

How comfortable are people with ambiguity and risk?



Long- / Short-Term Orientation

Future persistence vs. immediate results

INDIAN
WORKPLACE
EXAMPLE

An Indian engineer in a Dutch multinational may notice different expectations around hierarchy, informality and decision speed.

How culture is formed

FORMATION

Culture grows from repeated solutions that become “**the way we do things**”



Founder / early leaders

Values, priorities and early decisions leave the first imprint.



Industry demands

Safety-critical or regulated industries create distinctive norms.

Critical events

How leaders respond to crises becomes a powerful lesson.



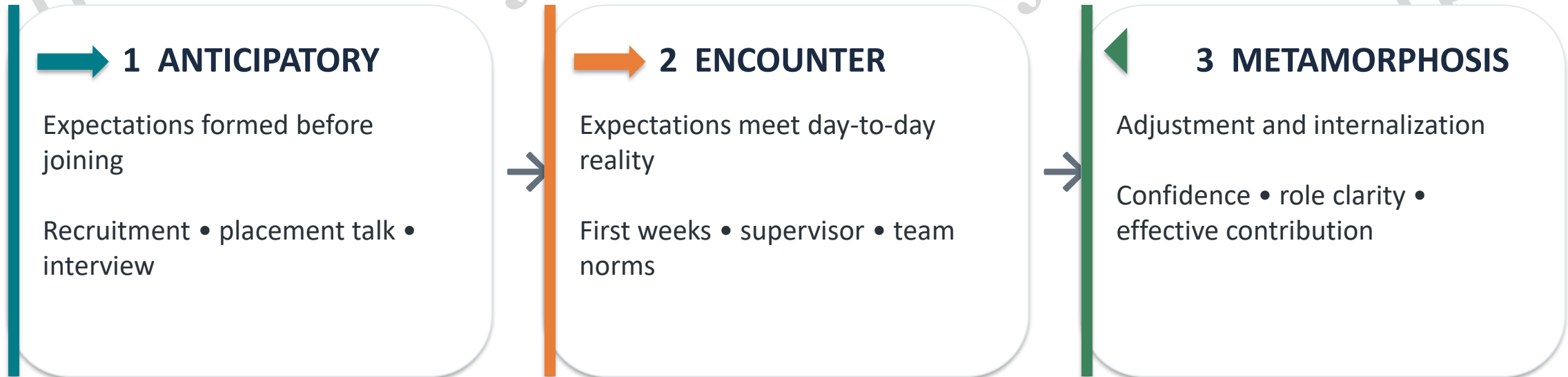
What gets rewarded

People learn what behaviour really counts.

Organizational socialization

FORMATION

How a newcomer moves from outsider → effective member



PLACEMENT
CONNECTION

Map your own internship/placement journey onto the three stages. Where was the biggest expectation–reality gap?

How culture spreads

FORMATION

People learn culture more from repeated signals than from posters



Stories

Founder stories, successes and crises



Rituals & symbols

Onboarding, town halls, ceremonies, spaces



Language

Shared jargon and phrases signal belonging



Role modelling

Leaders and seniors demonstrate what is expected

INDIAN EXAMPLE Wipro's "Spirit of Wipro" stories to illustrate values being repeatedly reinforced during socialisation.

Fit: person–organization ≠ person–job

APPLICATION

A subtle distinction with direct implications for retention



Person–Organization Fit

Do my values and preferred way of working fit the organization's culture?

High fit → satisfaction / commitment



Person–Job Fit

Do my abilities, interests and expectations fit the actual job?

Good culture fit can still coexist with a poor job fit.

Engineering
example

A graduate may love a collaborative company but dislike a role that is 80% repetitive documentation.

DISCUSS

Which fit would you check during campus recruitment — and what question would you ask to assess it?

When culture becomes a barrier

CHANGE

The same assumptions that once created success can later block adaptation



Deep assumptions

“This is how successful engineers work.”
“Speed matters more than reflection.”
“Questioning seniors creates trouble.”



Systems reinforce them

Rewards, promotion, policies, routines and leaders keep the old pattern alive.



Change becomes difficult

People fear the unknown and may defend familiar practices.

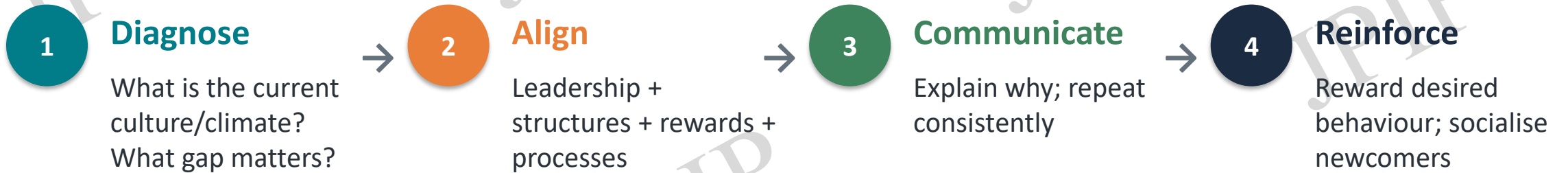
CASE CONNECTION

Nokia illustrates how a once-successful engineering orientation can become a barrier during major technology shifts.

Changing culture: from slogans to systems

CHANGE

Real change must reach behaviour, reinforcement and underlying assumptions



REFLECTION

What must change first: values, leader behaviour, reward systems, or employee behaviour? Defend your answer.

Engineering application: safety climate

APPLICATION

What does the organization really protect when output and safety conflict?



Strong safety climate

Management visibly supports safe work.
People can stop/raise concerns.
Near-misses are discussed and learned from.

Weak safety climate

Production pressure dominates.
Stopping work is discouraged.
Near-misses remain unreported.

DECISION POINT

A junior engineer sees a potential hazard 10 minutes before dispatch. What would the climate need to be for them to stop the process?

Engineering application: quality & learning

APPLICATION

Blame culture hides errors; learning culture exposes system weaknesses

Blame response

“Who caused the error?”
Focus on person/fault.
Errors may be hidden.



Learning response

“How did the system allow this?”
Focus on prevention.
Errors become learning opportunities.

Software / engineering example

A production defect is discovered. The team can punish the person who made the mistake — or examine the process, review points and communication that allowed it through.

DISCUSS

Which response is more likely to improve future quality? What climate does each response create?

Indian examples: culture in action

APPLICATION

Use examples to diagnose — not simply to admire companies



Infosys

structured induction/socialization is used to transmit norms and values to new employees.



Tata

founder values and people/community orientation illustrate how culture can persist over time.



Indian Railways / ISRO

hierarchy/control and mission discipline illustrate the usefulness of the Hierarchy quadrant of CVF.

Key question

Do not ask “Is this company good?” Ask: “What behaviour does this culture make easier — and what might it make harder?”

Group case: STOP THE LINE?

15 MIN

Diagnose the gap between formal policy and lived climate



Situation

A manufacturing plant has an excellent written safety policy. Production targets are aggressive. Supervisors dislike stoppages. Near-misses are rarely reported.



Your task

1. Identify 2 evidence points.
2. Is this mainly climate, culture, or both?
3. What behaviour is being reinforced?
4. Recommend 2 changes.

Use: CONCEPT → EVIDENCE → DIAGNOSIS → ACTION.

Mini climate & culture audit: **YOUR INTERNSHIP Org.**

15 MIN

Turn the concepts into an engineer's diagnostic tool

Rate 1–5



Leadership

Do leaders model what they expect?



Communication

Can information and bad news move upward?



Safety / Quality

What is protected when targets conflict?



Voice / Fairness

Can people question, disagree and report?

Then choose the lowest 2 scores → explain the evidence → recommend one behavioural and one system-level change.

“We think the problem is ___ because ___; change ___ would help because ___.”

Final diagnostic ladder

RECAP

1

What happened?

2

What evidence do we have?

3

Climate, culture, or both?

4

What behaviour is being reinforced?

5

What should change — behaviour + system?

EXAM RULE

Avoid generic answers. Always connect your recommendation to evidence and a psychological / organizational mechanism.

ORGANIZATIONAL CLIMATE & CULTURE

ORGANIZATIONAL CLIMATE (The “Weather”)

Shared perceptions about the work environment now.

How we feel today

- Motivation
- Satisfaction
- Trust
- Communication
- Support
- Work environment

VISIBLE & EXPERIENCED

-  Open meetings
-  Team morale
-  Communication flow
-  Policies in action
-  Physical environment

Above the waterline

ORGANIZATIONAL CULTURE (The “Iceberg”)

Deep-rooted values, beliefs and assumptions that shape behaviour over time.

ARTIFACTS

(Visible but not always understood)

Dress code, office layout, rituals, stories, symbols, language, processes, ceremonies

ESPOUSED VALUES

(Stated beliefs and values)

Mission, vision, values, strategies, goals, policies

UNDERLYING ASSUMPTIONS

(Unconscious, taken-for-granted beliefs)

Beliefs about people, authority, success, risk, time, work, relationships, truth

Below the waterline

HIDDEN & DEEPER

-  Hard to see
-  Developed over time
-  Deeply held beliefs
-  Resistant to change
-  Guide behaviour unconsciously



KEY TAKEAWAY

Climate is what people experience today.
Culture is why they experience it that way.



To change lasting results,
work below the waterline.

Key terms

EXIT

- 1 Organizational climate
- 2 Organizational culture
3. Difference between organisational climate and culture
- 4 Examples
5. Organisational climate: Litwin & Stringer's dimensions
6. Schein's three levels of organisational culture

Suggested learning resources / references

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